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BUREAUCRACY AND THE ADMINISTRATIVE STATE

Reform the Federal Bureaucracy

The federal government has a vast and sprawling bureaucracy. There are 2.3 million executive branch [civilian employees](#) with an estimated compensation totaling \$403 billion in 2025. Of these workers, 800,000 are in the Pentagon, and 1.5 million are spread throughout hundreds of other agencies. The US Postal Service employs an additional 550,000 workers.

Data from the [Bureau of Economic Analysis](#) show that the average federal civilian worker made \$157,000 in wages and benefits in 2023, much higher than the average US private-sector wages and benefits of \$94,000. Lucrative compensation and high job security induce federal employees to stay in their jobs for decades, which can create a sclerotic culture infected with groupthink. [Bureau of Labor Statistics data](#) show that the quit rate in the federal government is just one-quarter the rate in the private sector.

[Federal employees](#) are rarely fired. They are terminated for poor performance and misconduct at just one-sixth the rate of private-sector workers. For the federal senior executive service, the firing rate is just one-twentieth the rate of corporate CEOs. Current civil service protections make removing underperforming workers very difficult.

[Surveys of federal workers](#) find that most agencies take insufficient action to deal with poorly performing employees. Supervisors are reluctant to initiate disciplinary actions because of bureaucratic hoops. A [Merit Systems Protections Board](#) report found that just 41 percent of federal supervisors felt that they could remove an employee for serious misconduct, and only 26 percent thought that a poor performer could be removed.

One-quarter of federal workers are [members of unions](#), but ideally, none would be. [President Franklin Roosevelt](#) wrote in 1937 that “the process of collective bargaining, as usually understood, cannot be transplanted into the public service. It has its distinct and insurmountable limitations when applied to public personnel management.” At the very least, taxpayers should not have to pay for federal employees conducting union activities on work time.

There is no reason why federal employees should be an elite island of highly paid workers immune from the performance requirements typical of workers in the private sector. The great majority of Americans think that the [federal government](#) is wasteful, corrupt, and incompetent. Curbing excessive compensation and job protections for federal workers could help change that perception.

The federal government should do the following:

- Reduce employee benefits. [Federal employees](#) are paid 17 percent more than similar private-sector workers in total compensation, including 47 percent more in benefits. Federal employees receive post-employment health benefits and both defined-benefit and defined-contribution pension plans. Cutting overall compensation by 10 percent would save about \$40 billion a year.
- Downsize federal employment. Cutting the number of employees by 10 percent would save about \$40 billion a year.
- Limit federal unions. In his first term, President Trump signed executive order ([EO 13837](#)), which limited the share of work hours that federal workers can use for union activities to 25 percent and disallowed using such time to lobby Congress. He also signed [EO 13836](#), which aimed to renegotiate collective bargaining agreements to reduce costs and improve transparency. [President Biden repealed](#) these Trump EOs, but Trump should [reinstate them](#).
- Ease employee terminations. To increase efficiency, it should be easier to remove poorly performing workers. President Trump signed [EO 13839](#) in 2018 to streamline the process of firing poorly performing workers and those engaged in misconduct. This EO should be reinstated.
- Increase accountability. Federal workers must implement official policies without regard to their

personal opinions. President Trump signed [EO 13957](#) in 2020 to streamline hiring and removal processes for policy positions to enhance adherence to presidential priorities while maintaining a merit-based system. President Biden repealed it, and an Office of Management and Budget (OMB) rule adopted in 2024 further rejected the EO's goals. The Trump EO should be reinstated and OMB rules adjusted.

- End affirmative action in federal hiring and contracting.

EOs from the Lyndon B. Johnson and Richard Nixon administrations mandated affirmative action for federal hiring and contracting. Those EOs should be amended to strike any [requirement for affirmative action](#); specifically, prohibit affirmative action in federal hiring, redefine discrimination as intentional actions against an individual, and ban all statistical measures of discrimination or other disparate impact analyses in federal hiring and contracting.

Privatize or Transfer Federal Businesses and Assets

The federal government owns and operates many businesses, including the US Postal Service (USPS), Amtrak, the Tennessee Valley Authority (TVA), and the air traffic control (ATC) system. Federally owned businesses variously receive spending subsidies, tax exemptions, monopoly privileges, subsidized borrowing, and other benefits. However, if federal business activities could be self-supported by customer revenues, they should be moved to the private sector. The federal government should revive privatization, asset sales, and asset transfers to the states.

[Privatization would](#) improve efficiency by separating economic decisions from politics, improve management, allow prices to adjust more freely, improve the allocation of capital, and allow for more innovation.

Businesses are not the only assets that should be privatized. The federal government owns 28 percent of the [land in the United States](#), including almost half of the land in the 11 westernmost states. Top-down federal [regulations on land](#) have [frustrated Westerners](#). Much if not all of that land should be sold. The federal government also [owns or leases](#) almost 300,000 buildings, including offices, warehouses, and health facilities, and almost 600,000 structures, including parking lots, bridges, and military assets. The [Government Accountability Office](#) (GAO) has

long had federal property management on its “high risk” list for waste and found that many assets are deteriorating.

The market value of federal buildings and structures is unknown but likely in the trillions of dollars. Many buildings are underutilized, particularly in the wake of the 2020 pandemic, with many federal employees now working remotely. Many [federal assets](#) would add more value to the economy in the private sector and should be sold, but the GAO noted that “the process for disposing of federal assets remains complex.”

A President Ronald Reagan–appointed commission issued a 1988 report highlighting privatization opportunities, but few reforms were enacted. President Bill Clinton and a Republican Congress did privatize a few businesses and assets in the 1990s. The Barack Obama administration proposed privatizing the TVA, and it pursued sales of excess buildings. The first Trump administration supported privatizing the USPS and the ATC system, but those reforms stalled in Congress.

The federal government should do the following:

- [Privatize Amtrak](#). Federal subsidies of more than \$3 billion a year keep Amtrak and its high-cost workforce afloat. Amtrak's on-time record is poor,

and its trains take [longer than buses](#) on many routes. While some routes in the Northeast earn operating profits, most routes lose money and do not make environmental sense compared to buses or planes. Privatizing Amtrak would allow the company to cut inefficient routes and focus investment on the routes with the highest demand.

- [Privatize the USPS](#). The USPS is a huge enterprise with 550,000 employees. It does not pay taxes, and it occasionally receives subsidies, including \$10 billion during the pandemic in 2020 and \$3 billion for purchasing electric vehicles in 2022.
- Privatize the [ATC system](#). America's ATC system faces huge challenges. ATC is a high-tech industry, but our system is trapped inside a government bureaucracy. Our system has outdated technology and is struggling to handle rising aviation demand. Policymakers should revive the plan considered during the first Trump administration to privatize the ATC system as an independent, self-funded, nonprofit corporation.
- [Privatize the TVA](#). The federally owned TVA is a massive relic of the New Deal. In recent decades, it has been known for its poor environmental stewardship. Nearly all large electric utilities in the nation are for-profit corporations. Privatizing the TVA would level the playing field and raise tens of billions of dollars.
- Privatize the [Power Marketing Administrations](#) (PMAs). The federal government owns the Bonneville Power Administration, the Southeastern Power Administration, the Southwestern Power Administration, and the Western Area Power Administration. These utilities transmit wholesale electricity in 33 states. President Reagan proposed privatizing the PMAs, and President Clinton was able to sell the Alaska Power Administration. Policymakers should dust off these reform plans and finish the job.
- Transfer [Bureau of Land Management](#) (BLM) lands to the states. The complex trade-offs needed on the

vast BLM lands should be made by Westerners, not bureaucracies in Washington, DC. As the American population moved West in the 19th century, [federal lands](#) in most states were handed over to state governments and the private sector. Vast lands in Illinois and Missouri, for example, were transferred to those states when they gained statehood. Westerners should gain ownership of more of the lands within their borders. When appropriate, some BLM lands should be sold to individuals, businesses, and nonprofit groups.

- Transfer parks to the states. The National Park Service oversees more than 400 parks and national monuments, but park service facilities have long suffered from underinvestment and poor maintenance. For many less popular parks, most visitors come from within the state, so it makes sense to transfer these parks to state governments. Some parks and monuments could be transferred to private nonprofit groups, akin to the group that manages Mount Vernon in Virginia.
- Transfer water infrastructure to the states. The [Bureau of Reclamation](#) owns vast water infrastructure in the Western states, including dams and canals. The agency has historically underpriced irrigation water, which has led to excess consumption in the arid regions of the West. Because water has become such a contentious issue in many places, the federal government should hand over infrastructure to the states for local democratic control.
- Sell excess [buildings and structures](#). Selling excess federal assets would put them into more productive private uses, thus boosting efficiency in the economy. Sales would reap a short-term revenue gain for the government and broaden the property and income tax bases. Policymakers should speed the lengthy and convoluted processes for agencies to unload little-used buildings and structures.

End Federal DEI and the Collection of Race and Ethnicity Data

The federal government collects too much [data on the race and ethnicity](#) of Americans. Over the centuries, the federal government has invented new [racial and ethnic categories](#), such as the recently concocted [Middle Eastern or North African](#) (MENA) category that will be included in the [forthcoming Census](#), the reformatted [Hispanic or Latino ethnic category](#), the Asian category, and others that are inconsistent with individual preferences and personal self-identities. These new [racial or ethnic categories](#) encourage lobbying for government-directed benefits and punishments based on race, [sometimes to the detriment](#) of the intended beneficiaries and often to the detriment of others via [diversity, equity, and inclusion \(DEI\) initiatives](#), discrimination, and [affirmative action](#). Others use new government-created races and ethnicities to justify additional government interventions that infringe on the life, liberty, and private property of Americans. Private organizations often bow to federal pressure or follow the government's lead in using federal racial and ethnic categorization for questionnaires, surveys, and other purposes—exacerbating

divisions. Race-and-ethnicity based government interventions would be more difficult or impossible without comprehensive government data.

The federal government should do the following:

- Halt the Office of Management and Budget's (OMB's) creation of the new [MENA race category](#) for the next Census and other government surveys, forms, reporting, and record keeping.
- Halt and reverse other changes to government racial categories recently approved by the OMB.
- Only where absolutely necessary rely on self-reported ancestry or country of birth information rather than the government-created racial categories.
- Guarantee that it will not collect data on religion.
- Ideally, end all federal collection of race and ethnicity data for the Census and other federal purposes, with the possible exceptions for identification purposes on passports and other official documents, and then based solely on the individual's self-identification.

End Government Interference with Online Speech

Despite the First Amendment, the federal government has made significant attempts to influence various matters of speech, particularly speech hosted by online platforms. While the First Amendment protects against direct regulation of speech, the government has attempted to justify its interference by appealing to the need for research, national security, or safety.

Various elements of the government have [funded research](#) into misinformation and related topics. One of the most

notable is the National Science Foundation (NSF), especially its Track F program. NSF-backed [counter-misinformation research](#) has waded into highly politicized cultural issues, such as crime, self-defense, civil unrest, race, and bias in the mainstream media. Similarly, the State Department, through its Global Engagement Center and the National Endowment for Democracy, funded the [Global Disinformation Index](#) (GDI), which created advertising blacklists. The British GDI labeled prominent American [news organizations](#), such as

the *New York Post*, *Real Clear Politics*, and *Reason*, as being the riskiest news outlets, which harmed their advertising revenue. The GDI believed these organizations were uniquely biased, didn't fact-check or police misinformation, or that certain views on major cultural issues like gender identity were [harmful misinformation](#). These incidents expose the inherent risk of bias in misinformation research and support the worrying and increasingly accepted narrative that the government should take action to stop false or [misleading information](#).

Furthermore, the Twitter Files and other investigations by reporters and Congress revealed significant and secretive [government pressure](#) against social media companies regarding content moderation. While such communications are often relatively benign, the sheer scale of demands can be daunting, especially when paired with other more aggressive public and [private demands](#). Leaders of companies in some cases felt like they had little choice but to change their policies to avoid retribution from the government. If unchecked,

this phenomenon, [also known as jawboning](#), is effectively censoring Americans' speech by proxy through the pressure the government puts on private companies and platforms.

Congress and the president should do the following:

- Cease all federal government [grants and contracts](#) regarding misinformation, disinformation, or malinformation research, labeling, or other efforts to counter Americans' protected speech. This restriction should in no way infringe on the ability of private organizations to spend private money on such topics.
- Require [transparency in government](#) requests of private organizations regarding whether to carry or how to moderate Americans' speech. To prevent government abuse through secretive demands of private companies, all government requests of companies should be compiled and reported publicly, subject to relevant Freedom of Information Act and Privacy Act redactions.